

Aspiring traders need to understand that the quest is not a matter of finding that one approach that unlocks the secrets of market success, but rather finding an approach that fits their personality. Jimmy Balodimas has found an approach that works for him because it fits his personality—independent, competitive, contrarian, and very comfortable with risk. The same approach, however, would be potentially disastrous for most other traders who would have very different comfort levels in trading style. Over the years, I have received many inquiries that read something like the following:

Dear Mr. Schwager,

I wonder whether you know of any traders who are looking for apprentices. I'm willing to work long hours without pay to be able to learn from one of the Market Wizards.

This type of query reflects a misdirected quest. You cannot succeed in the markets by copying someone else's approach because the odds are remote that their method will fit your personality. The answer lies not in copying someone else's method, but in finding your own.

¹Balodimas does short-term trading of equities. Using the S&P 500 as a benchmark, during the 1990s and 2000s—the decades in which Balodimas traded—the market was up 53 percent of the days. Source: Crestmont Research (www.CrestmontResearch.com).